

CHAPTER 49.

An Act to consolidate and amend and extend to other Companies carrying on Assurance or Insurance business the Law relating to Life Assurance Companies, and for other purposes connected therewith.

[3rd December 1909.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

COMPANIES TO WHICH ACT APPLIES.

Companies to
which Act
applies.

1. This Act shall apply to all persons or bodies of persons, whether corporate or unincorporate, not being registered under the Acts relating to friendly societies or to trade unions (which persons and bodies of persons are hereinafter referred to as assurance companies), whether established before or after the commencement of this Act and whether established within or without the United Kingdom, who carry on within the United Kingdom assurance business of all or any of the following classes :—

- (a) Life assurance business ; that is to say, the issue of, or the undertaking of liability under, policies of assurance upon human life, or the granting of annuities upon human life ;
- (b) Fire insurance business ; that is to say, the issue of, or the undertaking of liability under, policies of insurance against loss by or incidental to fire ;
- (c) Accident insurance business ; that is to say, the issue of, or the undertaking of liability under, policies of insurance upon the happening of personal accidents, whether fatal or not, disease or sickness, or any class of personal accidents, disease, or sickness ;
- (d) Employers' liability insurance business ; that is to say, the issue of, or the undertaking of liability under, policies insuring employers against liability to pay compensation or damages to workmen in their employment ;
- (e) Bond investment business ; that is to say, the business of issuing bonds or endowment certificates by which the company, in return for subscriptions payable at periodical intervals of two months or less, contract to pay the bondholder a sum at a future date, and not being life assurance business as hereinbefore defined ;

subject as respects any class of assurance business to the special provisions of this Act relating to business of that class.

A company registered under the Companies Acts which transacts assurance business of any such class as aforesaid in any part of the world shall for the purposes of this provision be deemed to be a company transacting such business within the United Kingdom.

GENERAL.

2.—(1) Every assurance company shall deposit and keep Deposit.
deposited with the Paymaster-General for and on behalf of the Supreme Court the sum of twenty thousand pounds.

(2) The sum so deposited shall be invested by the Paymaster-General in such of the securities usually accepted by the Court for the investment of funds placed under its administration as the company may select, and the interest accruing due on any such securities shall be paid to the company.

(3) The deposit may be made by the subscribers of the memorandum of association of the company, or any of them, in the name of the proposed company, and, upon the incorporation of the company, shall be deemed to have been made by, and to be part of the assets of, the company, and the registrar shall not issue a certificate of incorporation of the company until the deposit has been made.

(4) Where a company carries on, or intends to carry on, assurance business of more than one class, a separate sum of twenty thousand pounds shall be deposited and kept deposited under this section as respects each class of business, and the deposit made in respect of any class of business in respect of which a separate assurance fund is required to be kept shall be deemed to form part of that fund, and all interest accruing due on any such deposit or the securities in which it is for the time being invested shall be carried by the company to that fund.

(5) The Paymaster-General shall not accept a deposit except on a warrant of the Board of Trade.

(6) The Board of Trade may make rules with respect to applications for warrants, the payment of deposits, and the investment thereof or dealing therewith, the deposit of stocks or other securities in lieu of money, the payment of the interest or dividends from time to time accruing due on any securities in which deposits are for the time being invested, and the withdrawal and transfer of deposits, and the rules so made shall have effect as if they were enacted in this Act, and shall be laid before Parliament as soon as may be after they are made.

(7) This section shall apply to an assurance company registered or having its head office in Ireland, subject to the following modifications:—

References to the Supreme Court shall be construed as references to the Supreme Court of Judicature in Ireland, and references to the Paymaster-General shall be construed as references to the Accountant-General of the last-mentioned Court.

Separation of
funds.

3.—(1) In the case of an assurance company transacting other business besides that of assurance or transacting more than one class of assurance business, a separate account shall be kept of all receipts in respect of the assurance business or of each class of assurance business, and the receipts in respect of the assurance business, or, in the case of a company carrying on more than one class of assurance business, of each class of business, shall be carried to and form a separate assurance fund with an appropriate name: Provided that nothing in this section shall require the investments of any such fund to be kept separate from the investments of any other fund.

(2) A fund of any particular class shall be as absolutely the security of the policy holders of that class as though it belonged to a company carrying on no other business than assurance business of that class, and shall not be liable for any contracts of the company for which it would not have been liable had the business of the company been only that of assurance of that class, and shall not be applied, directly or indirectly, for any purposes other than those of the class of business to which the fund is applicable.

Accounts and
balance sheets.

4. Every assurance company shall, at the expiration of each financial year of the company, prepare—

- (a) A revenue account for the year in the form or forms set forth in the First Schedule to this Act and applicable to the class or classes of assurance business carried on by the company;
- (b) A profit and loss account in the form set forth in the Second Schedule to this Act, except where the company carries on assurance business of one class only and no other business;
- (c) A balance sheet in the form set forth in the Third Schedule to this Act.

Actuarial re-
port and ab-
stract.

5.—(1) Every assurance company shall, once in every five years, or at such shorter intervals as may be prescribed by the instrument constituting the company, or by its regulations or byelaws, cause an investigation to be made into its financial condition, including a valuation of its liabilities, by an actuary, and shall cause an abstract of the report of such actuary to be made in the form or forms set forth in the Fourth Schedule to this Act and applicable to the class or classes of assurance business carried on by the company.

(2) The foregoing provisions of this section shall also apply whenever at any other time an investigation into the financial condition of an assurance company is made with a view to the distribution of profits, or the results of which are made public.

Statement of
assurance
business.

6. Every assurance company shall prepare a statement of its assurance business at the date to which the accounts of the company are made up for the purposes of any such investigation as aforesaid in the form or forms set forth in the Fifth Schedule

to this Act and applicable to the class or classes of assurance business carried on by the company: Provided that, if the investigation is made annually by any company, the company may prepare such a statement at any time, so that it be made at least once in every five years.

7.—(1) Every account, balance sheet, abstract, or statement hereinbefore required to be made shall be printed, and four copies thereof, one of which shall be signed by the chairman and two directors of the company and by the principal officer of the company and, if the company has a managing director, by the managing director, shall be deposited at the Board of Trade within six months after the close of the period to which the account, balance sheet, abstract, or statement relates: Provided that, if in any case it is made to appear to the Board of Trade that the circumstances are such that a longer period than six months should be allowed, the Board may extend that period by such period not exceeding three months as they think fit.

Deposit of accounts, &c. with Board of Trade.

(2) The Board of Trade shall consider the accounts, balance sheets, abstracts, and statements so deposited, and, if any such account, balance sheet, abstract, or statement appears to the Board to be inaccurate or incomplete in any respect, the Board shall communicate with the company with a view to the correction of any such inaccuracies and the supply of deficiencies.

(3) There shall be deposited with every revenue account and balance sheet of a company any report on the affairs of the company submitted to the shareholders or policy holders of the company in respect of the financial year to which the account and balance sheet relates.

(4) Where an assurance company registered under the Companies Acts in any year deposits its accounts and balance sheet in accordance with the provisions of this section, the company may, at the same time, send to the registrar a copy of such accounts and balance sheet; and, where such copy is so sent, it shall not be necessary for the company to send to the registrar a statement in the form of a balance sheet as required by subsection (3) of section twenty-six of the Companies (Consolidation) Act, 1908, 8 Edw. 7. c. 69, and the copy of the accounts and balance sheet so sent shall be dealt with in all respects as if it were a statement sent in accordance with that subsection.

8. A printed copy of the last-deposited accounts, balance sheet, abstract, or statement, shall on the application of any shareholder or policy holder of the company be forwarded to him by the company by post or otherwise.

Right of shareholders, &c. to copies of accounts, &c.

9. Where the accounts of an assurance company are not subject to audit in accordance with the provisions of the Companies (Consolidation) Act, 1908, or the Companies Clauses Consolidation Act, 1845, relating to audit, the accounts of the company shall be audited annually in such manner as the Board of Trade may prescribe, and the regulations made for the purpose may apply to

Audit of accounts.

8 & 9 Vict. c. 16.

any such company the provisions of the Companies (Consolidation) Act, 1908, relating to audit, subject to such adaptations and modifications as may appear necessary or expedient.

List of shareholders.

10. Every assurance company which is not registered under the Companies Acts, or which has not incorporated in its deed of settlement section ten of the Companies Clauses Consolidation Act, 1845, shall keep a "Shareholders Address Book," in accordance with the provisions of that section, and shall, on the application of any shareholder or policy holder of the company, furnish to him a copy of such book, on payment of a sum not exceeding sixpence for every hundred words required to be copied.

Deed of settlement.

11. Every assurance company which is not registered under the Companies Acts shall cause a sufficient number of copies of its deed of settlement or other instrument constituting the company to be printed, and shall, on the application of any shareholder or policy holder of the company, furnish to him a copy of such deed of settlement or other instrument on payment of a sum not exceeding one shilling.

Publication of authorised, subscribed, and paid-up capital.

12. Where any notice, advertisement, or other official publication of an assurance company contains a statement of the amount of the authorised capital of the company, the publication shall also contain a statement of the amount of the capital which has been subscribed and the amount paid up.

Amalgamation or transfer.

13.—(1) Where it is intended to amalgamate two or more assurance companies, or to transfer the assurance business of any class from one assurance company to another company, the directors of any one or more of such companies may apply to the Court, by petition, to sanction the proposed arrangement.

(2) The Court, after hearing the directors and other persons whom it considers entitled to be heard upon the petition, may sanction the arrangement if it is satisfied that no sufficient objection to the arrangement has been established.

(3) Before any such application is made to the Court—

(a) notice of the intention to make the application shall be published in the Gazette; and

(b) a statement of the nature of the amalgamation or transfer, as the case may be, together with an abstract containing the material facts embodied in the agreement or deed under which the amalgamation or transfer is proposed to be effected, and copies of the actuarial or other reports upon which the agreement or deed is founded, including a report by an independent actuary, shall, unless the Court otherwise directs, be transmitted to each policy holder of each company in manner provided by section one hundred and thirty-six of the Companies Clauses Consolidation Act, 1845, for the

transmission to shareholders of notices not requiring to be served personally: Provided that it shall not be necessary to transmit such statement and other documents to policy holders other than life, endowment, sinking fund, or bond investment policy holders, nor in the case of a transfer to such policy holders if the business transferred is not life assurance business or bond investment business; and

- (c) the agreement or deed under which the amalgamation or transfer is effected shall be open for the inspection of the policy holders and shareholders at the offices of the companies for a period of fifteen days after the publication of the notice in the Gazette.

(4) No assurance company shall amalgamate with another, or transfer its business to another, unless the amalgamation or transfer is sanctioned by the Court in accordance with this section.

14. Where an amalgamation takes place between any assurance companies, or where any assurance business of one such company is transferred to another company, the combined company or the purchasing company, as the case may be, shall, within ten days from the date of the completion of the amalgamation or transfer, deposit with the Board of Trade—

Statements in case of amalgamation or transfer.

- (a) certified copies of statements of the assets and liabilities of the companies concerned in such amalgamation or transfer, together with a statement of the nature and terms of the amalgamation or transfer; and
- (b) a certified copy of the agreement or deed under which the amalgamation or transfer is effected; and
- (c) certified copies of the actuarial or other reports upon which that agreement or deed is founded; and
- (d) a declaration under the hand of the chairman of each company, and the principal officer of each company, that to the best of their belief every payment made or to be made to any person whatsoever on account of the amalgamation or transfer is therein fully set forth, and that no other payments beyond those set forth have been made or are to be made either in money, policies, bonds, valuable securities, or other property by or with the knowledge of any parties to the amalgamation or transfer.

15. The Court may order the winding up of an assurance company, in accordance with the Companies (Consolidation) Act, 1908, and the provisions of that Act shall apply accordingly, subject, however, to the following modification:—

Special provisions as to winding up of assurance companies.

The company may be ordered to be wound up on the petition of ten or more policy holders owning policies of an aggregate value of not less than ten thousand pounds:

Provided that such a petition shall not be presented except by the leave of the Court, and leave shall not be granted until a *prima facie* case has been established to the satisfaction of the Court and until security for costs for such amount as the Court may think reasonable has been given.

Winding up of
subsidiary
companies.

16.—(1) Where the assurance business or any part of the assurance business of an assurance company has been transferred to another company under an arrangement in pursuance of which the first-mentioned company (in this section called the subsidiary company) or the creditors thereof has or have claims against the company to which such transfer was made (in this section called the principal company), then, if the principal company is being wound up by or under the supervision of the Court, the Court shall (subject as hereinafter mentioned) order the subsidiary company to be wound up in conjunction with the principal company, and may by the same or any subsequent order appoint the same person to be liquidator for the two companies, and make provision for such other matters as may seem to the Court necessary, with a view to the companies being wound up as if they were one company.

(2) The commencement of the winding up of the principal company shall, save as otherwise ordered by the Court, be the commencement of the winding up of the subsidiary company.

(3) In adjusting the rights and liabilities of the members of the several companies between themselves, the Court shall have regard to the constitution of the companies, and to the arrangements entered into between the companies, in the same manner as the Court has regard to the rights and liabilities of different classes of contributories in the case of the winding up of a single company, or as near thereto as circumstances admit.

(4) Where any company alleged to be subsidiary is not in process of being wound up at the same time as the principal company to which it is subsidiary, the Court shall not direct the subsidiary company to be wound up unless, after hearing all objections (if any) that may be urged by or on behalf of the company against its being wound up, the Court is of opinion that the company is subsidiary to the principal company, and that the winding up of the company in conjunction with the principal company is just and equitable.

(5) An application may be made in relation to the winding up of any subsidiary company in conjunction with a principal company by any creditor of, or person interested in, the principal or subsidiary company.

(6) Where a company stands in the relation of a principal company to one company, and in the relation of a subsidiary company to some other company, or where there are several companies standing in the relation of subsidiary companies to one principal company, the Court may deal with any number of such companies together or in separate groups, as it thinks most expedient, upon the principles laid down in this section.

17.—(1) Where an assurance company is being wound up by the Court, or subject to the supervision of the Court, or voluntarily, the value of a policy of any class or of a liability under such a policy requiring to be valued in such winding up shall be estimated in manner applicable to policies and liabilities of that class provided by the Sixth Schedule to this Act.

Valuation of annuities and policies.

(2) The rules in the Sixth and Seventh Schedules to this Act shall be of the same force, and may be repealed, altered, or amended, as if they were rules made in pursuance of section two hundred and thirty-eight of the Companies (Consolidation) Act, 1908, and rules may be made under that section for the purpose of carrying into effect the provisions of this Act with respect to the winding up of assurance companies.

18. The Court, in the case of an assurance company which has been proved to be unable to pay its debts, may, if it thinks fit, reduce the amount of the contracts of the company upon such terms and subject to such conditions as the Court thinks just, in place of making a winding-up order.

Power to Court to reduce contracts.

19. Section two hundred and seventy-four of the Companies (Consolidation) Act, 1908 (which contains provisions as to companies incorporated outside the United Kingdom), shall apply to every assurance company constituted outside the United Kingdom which carries on assurance business within the United Kingdom, whether incorporated or not.

Extension of 8 Edw. 7. c. 69. s. 274, to all assurance companies established outside the United Kingdom.

20. The Board of Trade may direct any documents deposited with them under this Act, or certified copies thereof, to be kept by the registrar or by any other officer of the Board of Trade; and any such documents and copies shall be open to inspection, and copies thereof may be procured by any person on payment of such fees as the Board of Trade may direct.

Custody and inspection of documents deposited with Board of Trade.

21.—(1) Every document deposited under this Act with the Board of Trade, and certified by the registrar or by any person appointed in that behalf by the President of the Board of Trade to be a document so deposited, shall be deemed to be a document so deposited.

Evidence of documents.

(2) Every document purporting to be certified by the registrar, or by any person appointed in that behalf by the President of the Board of Trade, to be a copy of a document so deposited shall be deemed to be a copy of that document, and shall be received in evidence as if it were the original document, unless some variation between it and the original document be proved.

22. The Board of Trade may, on the application or with the consent of an assurance company, alter the forms contained in the schedules to this Act as respects that company, for the purpose of adapting them to the circumstances of that company.

Alteration of forms.

23. Any assurance company which makes default in complying with any of the requirements of this Act shall be liable

Penalty for non-compliance with Act.

to a penalty not exceeding one hundred pounds, or, in the case of a continuing default, to a penalty not exceeding fifty pounds for every day during which the default continues, and every director, manager, or secretary, or other officer or agent of the company who is knowingly a party to the default shall be liable to a like penalty; and, if default continue for a period of three months after notice of default by the Board of Trade (which notice shall be published in one or more newspapers as the Board of Trade may, upon the application of one or more policy holders or shareholders, direct), the default shall be a ground on which the Court may order the winding up of the company, in accordance with the Companies (Consolidation) Act, 1908.

Penalty for
falsifying
statements,
&c.

24. If any account, balance sheet, abstract, statement, or other document required by this Act is false in any particular to the knowledge of any person who signs it, that person shall be guilty of a misdemeanour and shall be liable on conviction on indictment to fine and imprisonment, or on summary conviction to a fine not exceeding fifty pounds.

Recovery and
application of
penalties.

25. Every penalty imposed by this Act shall be recovered and applied in the same manner as penalties imposed by the Companies (Consolidation) Act, 1908, are recoverable and applicable.

Service of
notices.

26. Any notice which is by this Act required to be sent to any policy holder may be addressed and sent to the person to whom notices respecting such policy are usually sent, and any notice so addressed and sent shall be deemed and taken to be notice to the holder of such policy:

Provided that where any person claiming to be interested in a policy has given to the company notice in writing of his interest, any notice which is by this Act required to be sent to policy holders shall also be sent to such person at the address specified by him in his notice.

Accounts, &c.
to be laid
before Parlia-
ment.

27. The Board of Trade shall lay annually before Parliament the accounts, balance sheets, abstracts, statements, and other documents under this Act, or purporting to be under this Act, deposited with them during the preceding year, except reports on the affairs of assurance companies submitted to the shareholders or policy holders thereof, and may append to such accounts, balance sheets, abstracts, statements, or other documents any note of the Board of Trade thereon, and any correspondence in relation thereto.

Savings.

28.—(1) This Act shall not affect the National Debt Commissioners or the Postmaster-General, acting under the authorities vested in them respectively by the Government Annuities Acts, 1829 to 1888, and the Post Office Savings Bank Acts, 1861 to 1908.

(2) This Act shall not apply to a member of Lloyd's, or of any other association of underwriters approved by the Board of Trade, who carries on assurance business of any class, provided

that he complies with the requirements set forth in the Eighth Schedule to this Act, and applicable to business of that class.

(3) Save as otherwise expressly provided by this Act, nothing in this Act shall apply to assurance business of any class other than one of the classes specified in section one of this Act, and a policy shall not be deemed to be a policy of fire insurance by reason only that loss by fire is one of the various risks covered by the policy.

29. In this Act, unless the context otherwise requires,—

Interpretation.

The expression “chairman” means the person for the time being presiding over the board of directors or other governing body of the assurance company ;

The expression “annuities on human life” does not include superannuation allowances and annuities payable out of any fund applicable solely to the relief and maintenance of persons engaged or who have been engaged in any particular profession, trade, or employment, or of the dependants of such persons ;

The expression “policy holder” means the person who for the time being is the legal holder of the policy for securing the contract with the assurance company ;

The expression “underwriter” includes any person named in a policy or other contract of insurance as liable to pay or contribute towards the payment of the sum secured by such policy or contract ;

The expression “financial year” means each period of twelve months at the end of which the balance of the accounts of the assurance company is struck, or, if no such balance is struck, then the calendar year ;

The expression “Court” means the High Court of Justice in England, except that in the case of an assurance company registered or having its head office in Ireland it means, in the provisions of this Act, the High Court of Justice in Ireland, and in the case of an assurance company registered or having its head office in Scotland it means, in the provisions of this Act other than those relating to deposits, the Court of Session, in either division thereof ;

The expression “Companies Acts” includes the Companies (Consolidation) Act, 1908, and any enactment repealed by that Act ;

The expression “registrar” means the Registrar of Joint Stock Companies ;

The expression “actuary” means an actuary possessing such qualifications as may be prescribed by rules made by the Board of Trade ;

The expression “Gazette” means the London, Edinburgh, or Dublin Gazette, as the case may be.

APPLICATION TO SPECIAL CLASSES OF BUSINESS.

Application to
life assurance
companies.

30. Where a company carries on life assurance business, this Act shall apply with respect to that business, subject to the following modifications :—

- (a) "Policy on human life" shall mean any instrument by which the payment of money is assured on death (except death by accident only) or the happening of any contingency dependent on human life, or any instrument evidencing a contract which is subject to payment of premiums for a term dependent on human life ;
- (b) Where the company grant annuities upon human life, "policy" shall include the instrument evidencing the contract to pay such an annuity, and "policy holder" includes annuitant ;
- (c) The obligation to deposit and keep deposited the sum of twenty thousand pounds shall apply notwithstanding that the company has previously made and withdrawn its deposit, or been exempted from making any deposit under any enactment hereby repealed ;
- (d) Where the company intends to amalgamate with or to transfer its life assurance business to another assurance company, the Court shall not sanction the amalgamation or transfer in any case in which it appears to the Court that the life policy holders representing one-tenth or more of the total amount assured in the company dissent from the amalgamation or transfer ;
- (e) Nothing in this Act providing that the life assurance fund shall not be liable for any contracts for which it would not have been liable had the business of the company been only that of life assurance shall affect the liability of that fund, in the case of a company established before the ninth day of August eighteen hundred and seventy, for contracts entered into by the company before that date ;
- (f) In the case of a company carrying on life assurance business and established before the ninth day of August eighteen hundred and seventy, by the terms of whose deed of settlement the whole of the profits of all the business carried on by the company are paid exclusively to the life policy holders, and on the face of whose life policies the liability of the life assurance fund in respect of the other business distinctly appears, such of the provisions of this Act as require the separation of funds, and exempt the life assurance fund from liability for contracts to which it would not have been liable had the business of the company been only that of life assurance, shall not apply ;

- (g) Any business carried on by an assurance company which under the provisions of any special Act relating to that company is to be treated as life assurance business shall continue to be so treated, and shall not be deemed to be other business or a separate class of assurance business within the meaning of this Act ;
- (h) In the case of a mutual company whose profits are allocated to members wholly or mainly by annual abatements of premium, the abstract of the report of the actuary on the financial condition of the company, prepared in accordance with the Fourth Schedule to this Act, may, notwithstanding anything in section five of this Act, be made and returned at intervals not exceeding five years, provided that, where such return is not made annually, it shall include particulars as to the rates of abatement of premiums applicable to different classes or series of assurances allowed in each year during the period which has elapsed since the previous return under the Fourth Schedule.

31. Where a company carries on fire insurance business, this Act shall apply with respect to that business, subject to the following modifications :—

*Application to
fire insurance
companies.*

- (a) It shall not be necessary for the company to prepare any statement of its fire insurance business in accordance with the Fourth and Fifth Schedules to this Act :
- (b) Such of the provisions of this Act as relate to deposits to be made under this Act shall not apply with respect to the fire insurance business carried on by the company if the company has commenced to carry on that business within the United Kingdom before the passing of this Act :
- (c) Such of the provisions of this Act as relate to deposits to be made under this Act shall not apply where the company is an association of owners or occupiers of buildings or other property which satisfies the Board of Trade that it is carrying on, or is about to carry on, business wholly or mainly for the purpose of the mutual insurance of its members against damage by or incidental to fire caused to the houses or other property owned or occupied by them :
- (d) It shall not be necessary to make a deposit in respect of fire insurance business where the company has made a deposit in respect of any other class of assurance business, and, where a company, having made a deposit in respect of fire insurance business, commences to carry on life assurance business or employers' liability insurance business, the company may transfer the deposit so made to the account of that other business, and after such transfer the deposit shall be treated as if it had been made in respect of such other business :

- (e) So much of this Act as requires an assurance company transacting other business besides assurance business, or more than one class of assurance business, to keep separate funds into which all receipts in respect of the assurance business or of each class of assurance business are to be paid shall not apply as respects fire insurance business :
- (f) The provisions of this Act with respect to the amalgamation of companies shall not apply where the only classes of assurance business carried on by both of the companies are fire insurance business, or fire insurance business and accident insurance business, and the provisions of this Act with respect to the transfer of assurance business from one company to another shall not apply to fire insurance business.

Application to
accident insur-
ance com-
panies.

32. Where a company carries on accident insurance business, this Act shall apply with respect to that business, subject to the following modifications :—

- (a) In lieu of the provisions of sections five and six of this Act the following provisions shall be substituted :—
 “The company shall annually prepare a statement of its accident insurance business in the form set forth in the Fourth Schedule to this Act and applicable to accident insurance business, and the statement shall be printed, signed, and deposited at the Board of Trade in accordance with section seven of this Act” :
- (b) Such of the provisions of this Act as relate to deposits to be made under this Act shall not apply with respect to the accident insurance business carried on by the company if the company has commenced to carry on that business in the United Kingdom before the passing of this Act :
- (c) It shall not be necessary to make or keep a deposit in respect of accident insurance business where the company has made a deposit in respect of any other class of assurance business, and, where a company, having made a deposit in respect of accident insurance business, commences to carry on life assurance business or employers’ liability insurance business, the company may transfer the deposit so made to the account of that other business, and after such transfer the deposit shall be treated as if it had been made in respect of such other business :
- (d) So much of this Act as requires an assurance company transacting other business besides assurance business, or more than one class of assurance business, to keep separate funds into which all receipts in respect of the assurance business or of each class of assurance business are to be paid shall not apply as respects accident insurance business :

- (e) The provisions of this Act with respect to the amalgamation of companies shall not apply where the only classes of assurance business carried on by both of the companies are accident insurance business, or accident insurance business and fire insurance business, and the provisions of this Act with respect to the transfer of assurance business from one company to another shall not apply to accident insurance business :
- (f) The expression "policy" includes any policy under which there is for the time being an existing liability already accrued, or under which a liability may accrue :
- (g) Where a sum is due, or a weekly or other periodical payment is payable, under any policy, the expression "policy holder" includes the person to whom the sum is due or the weekly or other periodical payment payable.

33.—(1) Where a company carries on employers' liability insurance business, this Act shall apply with respect to that business, subject to the following modifications :—

Application to employers' liability insurance companies.

- (a) This Act shall not apply where the company is an association of employers which satisfies the Board of Trade that it is carrying on, or is about to carry on, business wholly or mainly for the purpose of the mutual insurance of its members against liability to pay compensation or damages to workmen employed by them, either alone or in conjunction with insurance against any other risk incident to their trade or industry :
- (b) This Act shall not apply where the company carries on the employers' liability insurance business as incidental only to the business of marine insurance by issuing marine policies, or policies in the form of marine policies, covering liability to pay compensation or damages to workmen as well as losses incident to marine adventure or adventure analogous thereto :
- (c) In lieu of the provisions of sections five and six of this Act the following provisions shall be substituted :—
 "The company shall annually prepare a statement of its employers' liability insurance business in the form set forth in the Fourth Schedule to this Act and applicable to employers' liability insurance business, and shall cause an investigation of its estimated liabilities to be made by an actuary so far as may be necessary to enable the provisions of that form to be complied with, and the statement shall be printed, signed, and deposited at the Board of Trade in accordance with section seven of this Act" :
- (d) Such of the provisions of this Act as relate to deposits to be made under this Act shall not apply with respect to the employers' liability insurance business carried on by a company where the company had commenced

to carry on that business within the United Kingdom before the twenty-eighth day of August nineteen hundred and seven :

- (e) As soon as the employers' liability fund set apart and secured for the satisfaction of the claims of policy holders of that class amounts to forty thousand pounds, the Paymaster-General shall, if the company has made a deposit in respect of any other class of assurance business, return to the company the money deposited in respect of its employers' liability insurance business, and it shall not thereafter be necessary for the company to keep any sum deposited in respect of that business, so long as the sum deposited in respect of any other class of assurance business is kept deposited :
 - (f) Where money is paid into a county court under the provisions of the Eighth Schedule to this Act, the court shall (unless the court for special reason sees fit to direct otherwise) order the lump sum to be invested or applied in the purchase of an annuity or otherwise, in such manner that the duration of the benefit thereof may, as far as possible, correspond with the probable duration of the incapacity :
 - (g) The expression " policy " includes any policy under which there is for the time being an existing liability already accrued, or under which any liability may accrue :
 - (h) Where any sum is due, or a weekly payment is payable, under any policy, the expression " policy holder " includes the person to whom the sum is due or the weekly payment payable :
 - (i) If the company carries on employers' liability insurance business outside the United Kingdom, that business shall not be treated as part of the employers' liability insurance business carried on by the company for the purposes of this Act.
- (2) In the application of this section to Scotland the expression " county court " means sheriff court.

Application to
bond invest-
ment com-
panies. 

34. Where a company carries on bond investment business, this Act shall apply with respect to that business, subject to the following modifications :—

- (a) The expression " policy " includes any bond, certificate, receipt, or other instrument evidencing the contract with the company, and the expression " policy holder " means the person who for the time being is the legal holder of such instrument :
- (b) Such of the provisions of this Act as relate to deposits shall not apply with respect to the bond investment business carried on by the company, if the company has commenced to carry on that business in the United Kingdom before the passing of this Act :

- (c) As soon as the bond investment fund set apart and secured for the satisfaction of the claims of the policy holders of that class amounts to forty thousand pounds, the Paymaster-General shall, if the company has made a deposit in respect of any other class of assurance business, return to the company the money deposited in respect of its bond investment business, and it shall not thereafter be necessary for the company to keep any sum deposited in respect of that business, so long as the sum deposited in respect of any other class of business is kept deposited :
- (d) The first statement of the bond investment business of the company shall be deposited at the Board of Trade on or before the thirtieth day of June nineteen hundred and eleven :
- (e) The company shall not give the holder of any policy issued after the passing of this Act any advantage dependent on lot or chance, but this provision shall not be construed as in anywise prejudicing any question as to the application to any such transaction, whether in respect of a policy issued before or after the passing of this Act, of the law relating to lotteries.

35. The Board of Trade may, on the application of any unregistered trade union originally established more than twenty years before the commencement of this Act, extend to the trade union the exemption conferred by this Act on registered trade unions, and may on the application of an unregistered friendly society extend to the society the exemption conferred by this Act on registered friendly societies if it appears to the Board, after consulting the Chief Registrar of Friendly Societies, that the society is one to which it is inexpedient that the provisions of this Act should apply.

Power of Board of Trade to exempt unregistered trade unions and friendly societies.

PROVISIONS AS TO COLLECTING SOCIETIES AND INDUSTRIAL ASSURANCE COMPANIES.

36.—(1) Amongst the purposes for which collecting societies and industrial assurance companies may issue policies of assurance there shall be included insuring money to be paid for the funeral expenses of a parent, grandparent, grandchild, brother, or sister.

Provisions as to collecting societies and industrial assurance companies.

(2) No policy effected before the passing of this Act with a collecting society or industrial assurance company shall be deemed to be void by reason only that the person effecting the policy had not, at the time the policy was effected, an insurable interest in the life of the person assured, or that the name of the person interested, or for whose benefit or on whose account the policy was effected, was not inserted in the policy, or that the insurance was not one authorised by the Acts relating to friendly societies, if the policy was effected by or on account of a person who had at the time a bonâ fide expectation that he would incur expenses in connection with the death or funeral of the assured, and if the sum assured is not unreasonable for the purpose of

covering those expenses, and any such policy shall enure for the benefit of the person for whose benefit it was effected or his assigns.

(3) Any collecting society or industrial insurance company which, after the passing of this Act, issues policies of insurance which are not within the legal powers of such society or company shall be held to have made default in complying with the requirements of this Act; and the provisions of this Act with respect to such default shall apply to collecting societies, industrial insurance companies, and their officers, in like manner as they apply to assurance companies and their officers.

59 & 60 Vict.
c. 25.

(4) Without prejudice to the powers conferred by section seventy-one of the Friendly Societies Act, 1896, the committee of management or other governing body of a collecting society having more than one hundred thousand members may petition the court to make an order for the conversion of the society into a mutual company under the Companies (Consolidation) Act, 1908, and the court may make such an order if, after hearing the committee of management, or other governing body, and other persons whom the court considers entitled to be heard on the petition, the court is satisfied, on a poll being taken, that fifty-five per cent. at least of the members of the society over sixteen years of age agree to the conversion; and the court may give such directions as it thinks fit for settling a proper memorandum and articles of association of the company; but, before any such petition is presented to the court, notice of intention to present the petition shall be published in the Gazette, and in such newspapers as the court may direct.

When a collecting society converts itself into a company in accordance with the provisions of this subsection, subsection (3) of section seventy-one of the Friendly Societies Act, 1896, shall apply in like manner as if the conversion were effected under that section.

59 & 60 Vict.
c. 26.

(5) In this section the expressions "collecting society" and "industrial assurance company" have the same meanings as in the Collecting Societies and Industrial Assurance Companies Act, 1896.

SUPPLEMENTAL.

Repeal.

37. The enactments mentioned in the Ninth Schedule to this Act are hereby repealed to the extent specified in the third column of that schedule:

Provided that nothing in this repeal shall affect any investigation made, or any statement, abstract, or other document deposited, under any enactment hereby repealed, but every such investigation shall be deemed to have been made and every such document prepared and deposited under this Act.

Short title and
commence-
ment.

38.—(1) This Act may be cited as the Assurance Companies Act, 1909.

(2) This Act shall come into operation on the first day of July nineteen hundred and ten, except that as respects section thirty-six it shall come into operation on the passing thereof.

SCHEDULES.

FIRST SCHEDULE.

N.B.—Where marine insurance business or sinking fund or capital redemption insurance business is carried on, the income and expenditure thereof to be stated in like manner in separate accounts. Any additional businesses (including employers' liability insurance business transacted out of the United Kingdom) to be shown in a separate inclusive general account.

(A.)—Form applicable to *Life Assurance Business*.

Revenue Account of the _____ for the Year ending _____ in respect of Life Assurance Business.

	Business within the United Kingdom.	Business out of the United Kingdom.	Total.		Business within the United Kingdom.	Business out of the United Kingdom.	Total.
Amount of life assurance fund at the beginning of the year -	£	£	£	Claims under policies paid and outstanding :-	£	£	£
Premiums :-	-	-	-	By death -	-	-	-
Consideration for annuities granted -	-	-	-	By maturity -	-	-	-
Interest, dividends, and rents	£	£	£	Surrenders, including surrenders of bonuses	-	-	-
Less income tax thereon -	-	-	-	Annuities -	-	-	-
				Bonuses in cash -	-	-	-
				Bonuses in reduction of premiums -	-	-	-
				Commission -	-	-	-
				Expenses of management -	-	-	-
					-	-	-
				Other payments (accounts to be specified)	-	-	-
Other receipts (accounts to be specified)	-	-	-	Amount of life assurance fund at the end of the year, as per Third Schedule -	-	-	-
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(B.)—Form applicable to Fire Insurance Business.

Revenue Account of the		for the Year ending		19		in respect of Fire Insurance Business.	
	£	s.	d.		£	s.	d.
Amount of fire insurance fund at the beginning of the year :—				Claims under policies paid and outstanding	-		
Reserve for unexpired risks	-			Commission	-	-	-
Additional reserve (if any)	-			Expenses of management	-	-	-
				Contributions to fire brigades	-	-	-
Premiums	-	-	-	Other payments (accounts to be specified)	-		
Interest, dividends, and rents	-			Amount of fire insurance fund at the end of the year as per Third Schedule :—	£	s.	d.
Less income tax thereon	-			Reserve for unexpired risks being per cent. of premium income for the year	-	-	-
Other receipts (accounts to be specified)	-			Additional reserve (if any)	-		
							£

NOTE 1.—Items in this Account to be the net amounts after deduction of the amounts paid and received in respect of re-insurances of the Company's risks.

NOTE 2.—If any sum has been deducted from the Expenses of management account, and taken credit for in the Balance Sheet as an asset, the sum so deducted to be separately shown in the above Account.

(C.)—Form applicable to Accident Insurance Business.

Revenue Account of the		for the Year ending		19		in respect of Accident Insurance Business.	
	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.		£ s. d.
Amount of accident insurance fund at the beginning of the year:—						Payments under policies, including medical and legal expenses in connection therewith -	
Reserve for unexpired risks -						Commission -	
Total estimated liability in respect of outstanding claims -						Expenses of management -	
Additional reserve (if any) -						Other payments (accounts to be specified) -	
Premiums—							£ s. d.
Interest, dividends, and rents -						Amount of accident insurance fund at the end of the year as per Third Schedule:—	
Less income tax thereon -						Reserve for unexpired risks being per cent. of premium income for the year -	
Other receipts (accounts to be specified) -						Total estimated liability in respect of outstanding claims as per Fourth Schedule (C) -	
						Additional reserve (if any) -	
							£

NOTE 1.—Items in this Account to be the net amounts after deduction of the amounts paid and received in respect of re-insurances of the Company's risks.
NOTE 2.—If any sum has been deducted from the expenses of management account, and taken credit for in the Balance Sheet as an asset, the sum so deducted to be separately shown in the above Account.

(D).—Form applicable to Employers' Liability Insurance Business.

Revenue Account of the _____ for the Year ending _____ 19____ in respect of Employers' Liability Insurance Business transacted within the United Kingdom.

Amount of employers' liability insurance fund at the beginning of the year :— Reserve for unexpired risks - Total estimated liability in respect of outstanding claims - Additional reserve (if any) - Premiums - Interest, dividends, and rents - Less income tax thereon - Other receipts (accounts to be specified) -	£ s. d.	£ s. d.	Payments under policies, including medical and legal expenses in connection therewith - Commission - Expenses of management - Other payments (accounts to be specified) - Amount of employers' liability insurance fund at the end of the year, as per Third Schedule :— Reserved for unexpired risks, being per cent. of premium income for the year - Total estimated liability in respect of outstanding claims, as per Fourth Schedule (D) - Additional reserve (if any) -	£ s. d.
				£

NOTE 1.—Items in this Account to be the net amounts after deduction of the amounts paid and received in respect of re-insurances of the Company's risks.
NOTE 2.—If any sum has been deducted from the Expenses of management account, and taken credit for in the Balance Sheet as an asset, the sum so deducted to be separately shown in the above Account.

(E.)—Form applicable to Bond Investment Business.

Revenue Account of the _____ for the Year ending _____ 19 _____ in respect of Bond Investment and
 Endowment Certificate Business.

		£	s.	d.			£	s.	d.
Amount of Bond Investment and Endowment Certificate Fund at the beginning of the year - Additional reserve (if any) -		£	s.	d.	Claims under bonds and certificates, paid and outstanding - Commission - Expenses of management - Other payments (accounts to be specified) - Amount of Bond Investment and Endowment Certificate Fund at the end of the year as per Third Schedule - Additional reserve (if any) -	£	s.	d.	£
Premiums -		-	-	-					
Interest, dividends, and rents -		-	-	-					
Less income tax thereon -		-	-	-					
Other receipts (accounts to be specified) -		-	-	-					
									£

NOTE 1.—Items in this Account to be the net amounts after deduction of the amounts paid and received in respect of re-insurances of the Company's risks.

NOTE 2.—If any sum has been deducted from the Expenses of management account, and taken credit for in the Balance Sheet as an asset, the sum so deducted to be separately shown in the above Account.

Section 4.

SECOND SCHEDULE.

PROFIT AND LOSS ACCOUNT OF THE		FOR THE YEAR ENDING	19	
	£ s. d.			£ s. d.
Balance of last year's account	- - -			- - -
Interest and dividends not carried to other accounts	- - -			- - -
Less income tax thereon	- - -			- - -
Profit realised (accounts to be specified)	- - -			- - -
Other receipts (accounts to be specified)	- - -			- - -
	£			
		Dividends and bonuses to shareholders		
		Expenses not charged to other accounts		
		Loss realised (accounts to be specified)		
		Other payments (accounts to be specified)		
		Balance as per Third Schedule		

Section 4.

THIRD SCHEDULE.

Balance Sheet of the

on the

19

LIABILITIES.		ASSETS.	
£	s. d.	£	s. d.
Shareholders' capital paid up (if any)	-	Mortgages on property within the United Kingdom	-
Life assurance funds*—	-	Do. out of the United Kingdom	-
Ordinary branch	-	Loans on parochial and other public rates	-
Industrial do.	-	Do. Life interests	-
Annuity fund*	-	Do. Reversions	-
Fire insurance fund	-	Do. Stocks and shares	-
Accident insurance fund	-	Do. Company's policies within their surrender values	-
Employers' liability insurance fund	-	Do. Personal security	-
Bond investment and endowment certificate fund	-	Investments:	-
Marine insurance fund	-	Deposit with the High Court (securities to be specified)	-
Sinking fund and capital redemption fund	-	British Government securities	-
Profit and loss account	-	Municipal and county securities, United Kingdom	-
Other funds (if any) to be specified	-	Indian and Colonial Government securities	-
	£	Do. provincial securities	-
		Do. municipal do.	-
Claims admitted or intimated but not paid†	-	Foreign Government securities	-
Life insurance	-	Do. provincial securities	-
Fire insurance	-	Do. municipal do.	-
Bond investment	-	Railway and other debentures and debenture stocks—Home and Foreign	-
	-	Do. do. preference and guaranteed stocks	-
	-	Do. ordinary stocks	-
	-	Rent charges	-
	-	Freehold ground rents	-
	-	Leasehold do.	-
	-	House property	-
	-	Life interests	-
	-	Reversions	-
	-	Agents' balances	-
	-	Outstanding premiums†	-
	-	Do. interest, dividends, and rent†	-
	-	Interest accrued but not payable†	-
	-	Bills receivable	-
	-	Cash:	-
	-	On deposit	-
	-	In hand and on current account	-
	-	Other assets (to be specified)	-
	£		£
Annuitants due and unpaid	-		-
Other sums owing by the Company† (to be stated separately under each class of business).	-		-

* Life companies having separate annuity fund to show amount thereof separately.

† These items are or have been included in the corresponding items in the First Schedule.

NOTE 1.—When part of the assets of the company are specifically deposited, under local laws, in various places out of the United Kingdom, as security to holders of policies there issued, each such place and the amount compulsorily lodged therein must be specified in respect of each class of business, except that, in the case of fire, accident, or employers' liability insurance business, it shall be sufficient to state the fact that a part of the assets has been so deposited.

NOTE 2.—A Balance Sheet in the above form must be rendered in respect of each separate fund for which separate investments are made.

NOTE 3.—The Balance Sheet must state how the values of the Stock Exchange securities are arrived at, and a certificate must be appended, signed by the same persons as sign the Balance Sheet, to the effect that in their belief the assets set forth in the Balance Sheet are in the aggregate fully of the value stated therein, less any investment reserve fund taken into account. In the case of a company transacting life assurance business or bond investment business, this certificate is to be given on the occasions only when a statement respecting valuation under the Fourth Schedule is made.

NOTE 4.—In the case of a company required to keep separate funds under section 3 of this Act, a certificate must be appended, signed by the same persons as signed the Balance Sheet and by the auditor, to the effect that no part of any such fund has been applied, directly or indirectly, for any purpose other than the class of business to which it is applicable.

Sections 5, 30,
32 and 33.

FOURTH SCHEDULE.

N.B.—Where sinking fund or capital redemption insurance business is carried on, a separate statement signed by the actuary must be furnished, showing the total number of policies valued, the total sums assured, and the total office yearly premiums, and also showing the total net liability in respect of such business and the basis on which such liability is calculated.

(A.)—*Form applicable to Life Assurance Business.*

STATEMENT respecting the VALUATION of the LIABILITIES under LIFE POLICIES and ANNUITIES of the _____, to be made and signed by the ACTUARY.

(The answers should be numbered to accord with the numbers of the corresponding questions.)

1. The date up to which the valuation is made.
2. The general principles adopted in the valuation, and the method followed in the valuation of particular classes of assurances, including a statement of the method by which the net premiums have been arrived at, and whether these principles were determined by the instrument constituting the company, or by its regulations or byelaws, or how otherwise; together with a statement of the manner in which policies on under average lives are dealt with.
3. The table or tables of mortality used in the valuation. In cases where the tables employed are not published, specimen policy values are to be given, at the rate of interest employed in the valuation, in respect of whole-life assurance policies effected at the respective ages of 20, 30, 40, and 50, and having been respectively in force for five years, ten years, and upwards at intervals of five years respectively; with similar specimen policy values in respect of endowment assurance policies, according to age at entry, original term of policy, and duration.
4. The rate or rates of interest assumed in the calculations.
5. The actual proportion of the annual premium income, if any, reserved as a provision for future expenses and profits, separately specified in respect of assurances with immediate profits, with deferred profits, and without profits. (If none, state how this provision is made.)
6. The consolidated revenue account since the last valuation, or, in case of a company which has made no valuation, since the commencement of the business. (This return should be made in the form annexed. No return under this heading will be required where a statement under this schedule is deposited annually.)
7. The liabilities of the company under life policies and annuities at the date of the valuation, showing the number of policies, the amount assured, and the amount of premiums payable annually under each class of policies, both with and without participation in profits; and also the net liabilities and assets of the company, with the amount of surplus or deficiency. (These returns to be made in the forms annexed.)
8. The principles upon which the distribution of profits among the shareholders and policy holders is made, and whether these principles were determined by the instrument constituting the company or by its regulations or byelaws or how otherwise, and the number of years' premiums to be paid before a bonus (a) is allotted, and (b) vests.

9. The results of the valuation, showing—

- (1) The total amount of profit made by the company, allocated as follows :—

(a) Among the policy holders with immediate participation, and the number and amount of the policies which participated ;

(b) Among policy holders with deferred participation, and the number and amount of the policies which participated ;

(c) Among the shareholders ;

(d) To reserve funds, or other accounts ;

(e) Carried forward unappropriated.

- (2) Specimens of bonuses allotted to whole-life assurance policies for 100*l.* effected at the respective ages of 20, 30, 40, and 50, and having been respectively in force for five years, ten years, and upwards at intervals of five years respectively, together with the amounts apportioned under the various modes in which the bonus might be received ; with similar specimen bonuses and particulars in respect of endowment assurance policies, according to age at entry, original term of policy, and duration.

Note.—Separate statements to be furnished throughout in respect of Ordinary and Industrial business respectively, the basis of the division being stated.

(Form referred to under Heading No. 7 in Fourth Schedule (A).)

SUMMARY and VALUATION of the POLICIES of the _____ as at _____ 19 ____.

Description of Transactions.	Particulars of the POLICIES for Valuation.				VALUATION.			
	Number of Policies.	Sums assured and Bonuses.	Office Yearly Premiums.	Net Yearly Premiums.	Value by the Sums assured and Bonuses.	Office Yearly Premiums.	Table, Interest	per cent. Net Liability.
ASSURANCES.								
I.—With immediate participation in profits.								
For whole term of life	-	-	-	-	-	-	-	-
Other classes (to be specified)	-	-	-	-	-	-	-	-
Extra premiums payable	-	-	-	-	-	-	-	-
II.—With deferred participation in profits.								
For whole term of life	-	-	-	-	-	-	-	-
Other classes (to be specified)	-	-	-	-	-	-	-	-
Extra premiums payable	-	-	-	-	-	-	-	-
Total assurances with profits	-	-	-	-	-	-	-	-
III.—Without participation in profits.								
For whole term of life	-	-	-	-	-	-	-	-
Other classes (to be specified)	-	-	-	-	-	-	-	-
Extra premiums payable	-	-	-	-	-	-	-	-
Total assurances without profits	-	-	-	-	-	-	-	-
Total assurances	-	-	-	-	-	-	-	-
Deduct re-assurances (to be specified according to class in a separate statement)	-	-	-	-	-	-	-	-
Net amount of assurances	-	-	-	-	-	-	-	-
Adjustments, if any (to be separately specified)	-	-	-	-	-	-	-	-
ANNUITIES ON LIVES.								
Immediate	-	-	-	-	-	-	-	-
Other classes (to be specified)	-	-	-	-	-	-	-	-
Total of the results	-	-	-	-	-	-	-	-

NOTE 1.—The term "extra premium" in this Act shall be taken to mean the charge for any risk not provided for in the minimum contract premium. If policies are issued in or for any country at rates of premium deduced from tables other than the European mortality tables adopted by the company, separate schedules similar in form to the above must be furnished.

NOTE 2.—Separate returns and valuation results must be furnished in respect of classes of policies valued by different tables of mortality, or at different rates of interest, also for business at other than European rates.

NOTE 3.—In cases also where separate valuations of any portion of the business are required under local laws in places outside the United Kingdom, a summary statement must be furnished in respect of the business so valued in each such place showing the total number of policies, the total sums assured and bonuses, the total office yearly premiums, and the total net liability on the bases as to mortality and interest adopted in each such place, with a statement as to such bases respectively.

(C).—*Form applicable to Accident Insurance Business.*

STATEMENT of the ESTIMATED LIABILITY in respect of OUTSTANDING CLAIMS arising in the year of Account, and in the preceding year or years ; computed as at the end of the year in which the claims arose, and as at the end of the year of Account ; with particulars as to the number and amount of the claims actually paid in the intervening period.

I.—Claims arising during the year of account ending] 19 .

(a) Particulars as to Claims arising, and settled, during the year of Account :—

Class of Claim.	No. of Claims.	Total amount paid.	
		By Sums insured.	By Weekly Allowance.
(1)	(2)	(3)	(4)
(i) Fatal claims - -			
(ii) Non-fatal claims -			
Total - -			

(b) Particulars as to Claims arising during and outstanding at the end of the year of Account :—

Class of Claim.	No. of Claims.	Amount paid during Year of Account.	Estimated Liability.
(1)	(2)	(3)	(4)
(i) Fatal claims - - - -			
(ii) Non-fatal claims, involving payment of sums insured.			
(iii) Non-fatal claims, involving payment of temporary weekly allowances :—			
With maximum duration, not exceeding 26 weeks.			
With maximum duration exceeding 26 weeks, but not exceeding 52 weeks.			
And so on, at intervals of 26 weeks, up to the longest period over which temporary weekly allowances are granted.			
(iv) Non-fatal claims, involving payment of yearly allowances during permanent total disablement.			
Totals - - - -			

II.—Outstanding Claims which arose during the *first year* preceding
the year of account, ending 19 .

Particulars of Claims. (1)	Estimated Liability in respect of Claims Outstanding as at the above Date. (2)		Claims paid during the Period of One Year between the above Date and the End of Year of Account.				Estimated Liability in respect of Claims Outstanding as at the End of Year of Account. (5)		Totals of Columns (3), (4), and (5). (6)	
			Terminated within such Period. (3)		Not terminated within such Period. (4)					
	No.	Amount.	No.	Amount.	No.	Amount.	No.	Amount.	No.	Amount.
(i) Fatal claims -										
(ii) Non - fatal claims, involving payment of sums insured.										
(iii) Non - fatal claims, involving payment of temporary weekly allowances :- With maximum duration not exceeding 26 weeks. With maximum duration exceeding 26 weeks, but not exceeding 52 weeks. And so on, at intervals of 26 weeks, up to the longest period over which temporary weekly allowances are granted.										
(iv) Non - fatal claims, involving payment of yearly allowances during permanent total disablement.										
Totals - -										

NOTE.—If temporary weekly allowances are granted by the Company for periods exceeding 52 weeks, particulars are to be furnished, in a form or forms similar to II. above, showing, in respect of claims involving such extended allowances, the estimated liability as at the end of the year in which such claims arose, and as at the end of the year of account; and the number and amount of such actual claims paid during the intervening period of two (or more) years; distinguishing claims terminated, and not terminated, within such period.

III.—Summary of estimated liability, in respect of claims outstanding
as at the end of the year of account—

As per column (4) of Statement I. (b) - - £

" " (5) " " II. - -

" " (5) of further schedules in the
form of Statement II. (if required).

In respect of yearly allowances during
permanent total disablement, outstanding
at the end of the year of account, but not
included in the above Statements - -

Total estimated liability, in respect of out-
standing claims as at the end of the year
of account, as per First Schedule (C.) - £

(D).—Form applicable to Employers' Liability Insurance
Business.

STATEMENT of the ESTIMATED LIABILITY in respect of outstanding
CLAIMS arising during each of the Five Years preceding the Year
of ACCOUNT, and in such Year; computed as at the end of the Year
in which the CLAIMS arose, and as at the end of the Year of
ACCOUNT; with Particulars as to the Number and Amount of the
CLAIMS actually paid in the intervening Period.

I.—Claims arising during the year of account ending 19 .

(a) Particulars as to claims arising and settled during the year of
account :—

Class of Claim.	Number.	Amount paid.
(1)	(2)	(3)
Fatal claims - - -		£
Non-fatal claims - - -		
Total - - -		

(b) Particulars as to claims arising during, and outstanding at end of,
the year of account :—

Class of Claim.	Number.	Amount paid during year of account.	Estimated Liability.
(1)	(2)	(3)	(4)
Fatal claims - - -		£	£
Non-fatal claims - - -			
Total - - -			

II.—Outstanding claims which arose during the first year preceding
the year of account, ending 19 .

Particulars of Claims. (1)	Estimated Liability in respect of Claims outstanding as at the above date. (2)		Claims paid during the period of 1 year between the above date and the end of the year of Account. (3)		Estimated Liability in respect of Claims outstanding as at the end of the year of Account. (4)		Total of Columns (3) and (4). (5)	
	Number.	Amount.	Number.	Amount.	Number.	Amount.	Number.	Amount.
		£		£		£		£
Fatal claims -								
Non-fatal claims—								
Terminated -					—	—		
Not terminated								
Total -								

III.—Outstanding claims which arose during the second year preceding
the year of account, ending the 19 .

Particulars of Claims. (1)	Estimated Liability in respect of Claims outstanding as at the above date. (2)		Claims paid during the period of 2 years between the above date and the end of the year of Account. (3)		Estimated Liability in respect of Claims outstanding as at the end of the year of Account. (4)		Total of Columns (3) and (4). (5)	
	Number.	Amount.	Number.	Amount.	Number.	Amount.	Number.	Amount.
		£		£		£		£
Fatal claims -								
Non-fatal claims—								
Terminated -					—	—		
Not terminated								
Total -								

IV.—Outstanding claims which arose during the third year preceding the
year of account, ending the 19 .

Particulars of Claims. (1)	Estimated Liability in respect of Claims outstanding as at the above date. (2)		Claims paid during the period of 3 years between the above date and the end of the year of Account. (3)		Estimated Liability in respect of Claims outstanding as at the end of the year of Account. (4)		Total of Columns (3) and (4). (5)	
	Number.	Amount.	Number.	Amount.	Number.	Amount.	Number.	Amount.
		£		£		£		£
Fatal claims -								
Non-fatal claims—								
Terminated -					—	—		
Not terminated								
Total -								

V.—Outstanding claims which arose during the fourth year preceding the year of account, ending the 19 .

Particulars of Claims. (1)	Estimated Liability in respect of Claims outstanding as at the above date. (2)		Claims paid during the period of 4 years between the above date and the end of the year of Account. (3)		Estimated Liability in respect of Claims outstanding as at the end of the year of Account. (4)		Total of Columns (3) and (4). (5)	
	Number. Amount.		Number. Amount.		Number. Amount.		Number. Amount.	
		£		£		£		£
Fatal claims -								
Non-fatal claims—								
Terminated -					—	—		
Not terminated								
Total -								

VI.—Outstanding claims which arose during the fifth year preceding the year of account, ending the 19 .

Particulars of Claims. (1)	Estimated Liability in respect of Claims outstanding as at the above date. (2)		Claims paid during the period of 5 years between the above date and the end of the year of Account. (3)		Estimated Liability (included in Statement VII. and valued by the method there specified) in respect of Claims outstanding as at the end of the year of Account. (4)		Total of Columns (3) and (4). (5)	
	Number. Amount.		Number. Amount.		Number. Amount.		Number. Amount.	
		£		£		£		£
Fatal claims -								
Non-fatal claims—								
Terminated -					—	—		
Not terminated								
Total -								

NOTE.—In cases where the date at which the estimated liability required under column (2) in Forms IV., V. and VI. above would fall in any year prior to 1908, such estimated liability is to be returned as at the end of the year of account terminated in 1908, and the claims paid, required under column (3) of such forms, are to be in respect of the period between the end of the year of account terminated in 1908 and the end of the year of account rendered.

VII.—Statement respecting claims of five years' duration and upwards outstanding as at the end of the year of account. (To be made and signed by an actuary.)

(1) The number of claims incumbent and having durations of five years and upwards as at the end of the year of account, including those separately returned under Form VI. above; and the amount of the weekly payment, and of the annual payment, due in respect of such claims; separately stated in respect of each year of life of the workmen,

from the youngest to the oldest. (These particulars to be returned under columns (1) to (4) of the tabular statement given below.)

(2) The estimated liability in respect of the claims specified above, computed, as at the end of the year of account, on the basis of the amount which would be required to purchase from the National Debt Commissioners, through the Post Office Savings Bank, an immediate life annuity for the workmen equal to 75 per cent. of the value of the weekly payment, according to the sex and true age of the workers. (These particulars to be returned under column (5) of the tabular statement given below, in respect of each year of life of the workmen, from the youngest to the oldest.)

(3) If the estimated liability, as reserved under the First Schedule in respect of the claims specified above, is computed on any basis other than that specified under Heading No. (2) above, the whole of the particulars required under Headings (1) and (2) above are to be returned in columns (1) to (5) of the tabular statement given below, together with the following additional particulars :—

(i) If the estimated liability is determined on the basis of the value of an immediate life annuity :—

(a) The table of mortality upon which such life annuity values are based ;

(b) The rate of interest at which such life annuity values are computed ;

(c) Whether such life annuity values are discriminated according to the sex of the workers ;

(d) The proportion of such life annuity values representing the estimated liability ;

(e) The modifications (if any) made in the true ages of the workmen, in deducing the estimated liability ;

(f) The amount of the estimated liability. (To be returned, in respect of each year of life, in column (6) of the tabular statement given below.)

(ii) If the estimated liability is not determined on the basis of the value of an immediate life annuity, full particulars are to be specified as to the precise method adopted in deducing such estimated liability, and the total amount of estimated liability is to be returned under column (6) of the tabular statement given below.

Number of Claims.	Ages of the Workmen as at the end of the Year of Account.	Amount of Weekly Payment.	Amount of Annual Payment.	Estimated Liability com- puted on Basis of 75 per Cent. of Value of Life Annuity purchased through the Post Office.	Estimated Liability, if computed on Basis other than that specified in Column 5.
(1)	(2)	(3)	(4)	(5)	(6)

— NOTE.—Separate particulars to be furnished in respect of male and female workers.

Summary of estimated liability in respect of outstanding claims as at the end of the year of account—

As per column (4) of Statement I (b)	-	-	-	£
" " (4) " II	-	-	-	
" " (4) " III	-	-	-	
" " (4) " IV	-	-	-	
" " (4) " V	-	-	-	
" " (5) or (6) " VII	-	-	-	
Total estimated liability in respect of out- standing claims as at the end of the year of account as per First Schedule (D) - - - } £				

(E.)—*Form applicable to Bond Investment Business.*

STATEMENT respecting the VALUATION of the LIABILITY under BONDS and ENDOWMENT CERTIFICATES of the to be made and signed by the ACTUARY.

(The answers should be numbered to accord with the numbers of the corresponding questions.)

1. The date up to which the valuation is made.
2. The principles adopted in the valuation of the liabilities under bond investment policies and endowment certificates, and whether these principles were determined by the instrument constituting the company, or by its regulations or byelaws, or how otherwise.
3. The rate or rates of interest assumed in the calculations.
4. The actual proportion of the annual income from contributions, if any, reserved as a provision for future expenses and profits. (If none, state how this provision is made.)
5. The consolidated revenue account since the last valuation, or, in the case of a company which has made no valuation, since the commencement of the business. (This return should be made in the form annexed. No return under this heading will be required where the valuation is made annually.)
6. The liabilities of the company under bond investment policies and endowment certificates at the date of the valuation, showing the number of policies or certificates, the amounts assured, the amount of contribution payable annually, and the provision for future expenses and profits; also the net liabilities and assets of the company, with the amount of surplus or deficiency. (These returns should be made in the forms annexed.)
7. The principles upon which the distribution of profits among the bond and certificate holders and shareholders is made, and whether those principles are determined by the instrument constituting the company, or by its regulations or byelaws, or how otherwise, and the time during which a bond investment policy or endowment certificate must be in force to entitle it to share in the profits.
8. The results of the valuation, showing—
 - (1) The total amount of profit made by the company, allocated as follows :—
 - (a) among participating bond or certificate holders, with the number so participating and the total amount of their bonds or certificates;
 - (b) among the shareholders;
 - (c) to reserve funds, or other accounts;
 - (d) carried forward unappropriated.
 - (2) Specimens of profit allotted to policies or certificates for 100% effected for different periods, and having been in force for different durations.

(Form referred to under Heading No. 5 in Fourth Schedule (E).)

CONSOLIDATED REVENUE ACCOUNT of the _____ for _____ Years commencing 19____
and ending _____ 19____.

		£	s.	d.			£	s.	d.
Amount of Bond Investment and Endowment Certificate Fund at the beginning of the period	-	-	-	-	Claims under Bonds and Certificates	-	-	-	-
	-	-	-	-		-	-	-	-
Additional reserve, if any		-	-	-	Commission	-	-	-	-
		-	-	-		-	-	-	-
Premiums		-	-	-	Expenses of management	-	-	-	-
		-	-	-		-	-	-	-
Interest, dividends, and rents		-	-	-	Other payments (accounts to be specified)	-	-	-	-
Less Income Tax thereon		-	-	-		-	-	-	-
Other receipts (accounts to be specified)		-	-	-	Amount of Bond Investment and Endowment Certificate Fund at the end of the period, as per Third Schedule	-	-	-	-
		-	-	-		-	-	-	-

NOTE.—If any sum has been deducted for the Expenses of management account and taken credit for in the Balance Sheet as an asset, the sum so deducted to be separately shown in the above Statement.

(Forms referred to under Heading No. 6 in Fourth Schedule (E).)
SUMMARY and VALUATION of the BOND INVESTMENT POLICIES or ENDOWMENT CERTIFICATES of
the as at 19

Description of Transactions.	Particulars of the Policies or Certificates for Valuation.				Valuation (Interest at per cent.).		
	No. of Policies.	Sums Assured and Bonuses (if any).	Full Yearly Premiums.	Value of Sums Assured and Bonuses (if any).	Value of Full Yearly Premiums.	Provisions for future Expenses and Profits.	Net Liability.
With participation in profits.							
Without participation in profits.							
Totals - - -							
Deduct re-assurances (to be specified according to class) -							
Net Totals - -							
Adjustments (if any) -							
Total of the results - -							

FIFTH SCHEDULE.

N.B.—Where sinking fund or capital redemption business is carried on, a separate statement, signed by the actuary, must be furnished showing the total sums assured maturing in each calendar year and the corresponding office premiums. Section 6.

(A).—*Form applicable to Life Assurance Business.*

STATEMENT of the LIFE ASSURANCE and ANNUITY BUSINESS of the
on the 19 , to be signed
by the Actuary.

(The answers should be numbered to accord with the numbers of the corresponding questions. Statements of re-assurances corresponding to the statements in respect of assurances are to be given throughout.) Separate statements are to be furnished in the replies to all the headings under this schedule for business at other than European rates. Separate statements are to be also furnished throughout in respect of ordinary and industrial business respectively.

1. The published table or tables of premiums for assurances for the whole term of life and for endowment assurances which are in use at the date above mentioned.

2. The total amount assured on lives for the whole term of life which are in existence at the date above mentioned, distinguishing the portions assured with immediate profits, with deferred profits, and without profits, stating separately the total reversionary bonuses and specifying the sums assured for each year of life from the youngest to the oldest ages, the basis of division as to immediate and deferred profits being stated.

3. The amount of premiums receivable annually for each year of life, after deducting the abatements made by the application of bonuses, in respect of the respective assurances mentioned under Heading No. 2, distinguishing ordinary from extra premiums. A separate statement is to be given of premiums payable for a limited number of years, classified according to the number of years' payments remaining to be made.

4. The total amount assured under endowment assurances, specifying sums assured and office premiums separately in respect of each year in which such assurances will mature for payment. The reversionary bonuses must also be separately specified, and the sums assured with immediate profits, with deferred profits, and without profits, separately returned.

5. The total amount assured under classes of assurance business, other than assurances dealt with under Questions 2 and 4, distinguishing the sums assured under each class, and stating separately the amount assured with immediate profits, with deferred profits, and without profits, and the total amount of reversionary bonuses.

6. The amount of premiums receivable annually in respect of each such special class of assurances mentioned under Heading No. 5, distinguishing ordinary from extra premiums.

7. The total amount of premiums which has been received from the commencement upon pure endowment policies which are in force at the date above mentioned.

8. The total amount of immediate annuities on lives, distinguishing the amounts for each year of life, and distinguishing male and female lives.

9. The amount of all annuities on lives other than those specified under Heading No. 8, distinguishing the amount of annuities payable under each class, and the amount of premiums annually receivable. •

10. The average rate of interest yielded by the assets, whether invested or uninvested, constituting the life assurance fund of the company, calculated upon the mean fund of each year during the period since the last investigation, without deduction of income tax.

It must be stated whether or not the mean fund upon which the average rate of interest is calculated includes reversionary investments.

11. A table of minimum values, if any, allowed for the surrender of policies for the whole term of life and for endowments and endowment assurances, or a statement of the method pursued in calculating such surrender values, with instances of the application of such method to policies of different standing and taken out at various interval ages from the youngest to the oldest. In the case of industrial policies, where free or paid up policies are granted in lieu of surrender values, the conditions under which such policies are granted must be stated, with specimens as prescribed for surrender values.

(E.)—*Form applicable to Bond Investment Business.*

STATEMENT of the BOND INVESTMENT BUSINESS of the
on the 19 . (To be signed by the Actuary.)

(The answers should be numbered to accord with the numbers of the corresponding questions. Statements of re-insurances, corresponding to the statements in respect of insurances, are throughout to be given.)

1. The published table or tables of rates of contribution for bond investment policies and endowment certificates which are in use at the date above-mentioned; with full particulars as to the terms and conditions on which advances are made under such policies or certificates, whether on security of house property or land, or otherwise.

2. The total amounts assured under policies or certificates which are in existence at the date above-mentioned, distinguishing the portions insured with and without profits, stating separately the total additions by way of bonus, and specifying such sums insured and bonuses respectively according to the number of complete years unexpired at such date.

3. The amount of premiums receivable annually, in respect of the respective insurances mentioned under Heading No. 2, separately specified according to the number of complete years unexpired at the date above mentioned.

4. The total amount of premiums which have been received from the commencement upon all policies or certificates mentioned under Headings Nos. 2 and 3, separately specified according to the number of complete years unexpired at the date above mentioned,

5. The average rate of interest realised by the assets, whether invested or uninvested, constituting the bond investment and endowment certificate fund of the company, calculated upon the mean fund of each year during the period since the last investigation, without deduction of income tax.

6. Full particulars as to the terms and conditions upon which surrenders of policies and certificates are granted, with specimens of the values allowed in respect of different durations, and different unexpired terms at the date of surrender.

7. Full particulars as to the terms and conditions upon which allowances are made on the death of a policy or certificate holder, with specimen values as required under Heading No. 6.

8. Full particulars as to the terms and conditions upon which transfers of the interest in a policy or certificate are granted, whether on the death of the policy or certificate holder, or during his lifetime.

9. Full particulars as to the terms and conditions upon which redemption of advances is granted, with specimens of redemption values in respect of bonds or certificates of different durations, and having different unexpired terms, at the date of redemption.

10. A tabular statement in respect of policies or certificates lapsed during the period since the last investigation, showing the number, the amount insured, the yearly premiums, and the total premiums received from the commencement; classified according to the year in which such policies or certificates were effected, and lapsed, respectively; with a similar tabular statement in respect of policies or certificates surrendered during the period: Provided that policies or certificates which have lapsed and been revived shall not be entered as lapses.

11. A statement of the total number of advances made under policies or certificates to the holders thereof, whether on the security of house property or land or otherwise, and the total amount of such advances outstanding at the date above mentioned, distinguishing the advances on first mortgage and those on second or subsequent mortgage.

SIXTH SCHEDULE.

Section 17.

RULES FOR VALUING POLICIES AND LIABILITIES.

(A)—*As respects Life Policies and Annuities.*

Rule for valuing an Annuity.

An annuity shall be valued according to the tables used by the company which granted such annuity at the time of granting the same, and, where such tables cannot be ascertained or adopted to the satisfaction of the court, then according to such rate of interest and table of mortality as the court may direct.

Rule for valuing a Policy.

The value of the policy is to be the difference between the present value of the reversion in the sum assured according to the contingency upon which it is payable, including any bonus or addition thereto made before the commencement of the winding up, and the present value of the future annual premiums.

In calculating such present values interest is to be assumed at such rate, and the rate of mortality according to such tables, as the court may direct.

The premium to be calculated is to be such premium as according to the said rate of interest and rate of mortality is sufficient to provide for the risk incurred by the office in issuing the policy, exclusive of any addition thereto for office expenses and other charges.

(B)—*As respects Fire Policies.*

Rule for valuing a Policy.

The value of a current policy shall be such portion of the last premium paid as is proportionate to the unexpired portion of the period in respect of which the premium was paid.

(C)—*As respects Accident Policies.*

Rule for valuing a periodical Payment.

The present value of a periodical payment shall, in the case of total permanent incapacity, be such an amount as would, if invested in the purchase of a life annuity from the National Debt Commissioners through the Post Office Savings Bank, purchase an annuity equal to seventy-five per centum of the annual value of the periodical payment, and, in any other case, shall be such proportion of such amount as may, under the circumstances of the case, be proper.

Rule for valuing a Policy.

The value of a current policy shall be such portion of the last premium paid as is proportionate to the unexpired portion of the period in respect of which the premium was paid.

(D)—*As respects Employers' Liability Policies.*

Rule for valuing a Weekly Payment.

The present value of a weekly payment shall, if the incapacity of the workman in respect of which it is payable is total permanent incapacity, be such an amount as would, if invested in the purchase of an immediate life annuity from the National Debt Commissioners through the Post Office Savings Bank, purchase an annuity for the workman equal to seventy-five per cent. of the annual value of the weekly payment, and in any other case shall be such proportion of such amount as may, under the circumstances of the case, be proper.

Rule for valuing a Policy.

The value of a current policy shall be such portion of the last premium paid as is proportionate to the unexpired portion of the period in respect of which the premium was paid, together with, in the case of a policy under which any weekly payment is payable, the present value of that weekly payment.

(E)—*As respects Bonds or Certificates.*

Rule for valuing a Policy or Certificate.

The value of a policy or certificate is to be the difference between the present value of the sum assured according to the date at which it is payable, including any bonus or addition thereto made before the commencement of the winding up, and the present value of the future annual premiums.

In calculating such present values, interest is to be assumed at such rate as the court may direct.

The premium to be calculated is to be such premium as, according to the said rate of interest, is sufficient to provide for the sum assured by the policy or certificate, exclusive of any addition thereto for office expenses and other charges.

SEVENTH SCHEDULE.

Section 17.

Where an assurance company is being wound up by the court or subject to the supervision of the court, the liquidator, in the case of all persons appearing by the books of the company to be entitled to or interested in policies granted by such company, is to ascertain the value of the liability of the company to each such person, and give notice of such value to such persons in such manner as the court may direct, and any person to whom notice is so given shall be bound by the value so ascertained unless he gives notice of his intention to dispute such value in manner and within a time to be prescribed by a rule or order of the court.

EIGHTH SCHEDULE.

Sections 28
and 33.

REQUIREMENTS TO BE COMPLIED WITH BY UNDERWRITERS BEING
MEMBERS OF LLOYD'S OR OF ANY OTHER ASSOCIATION OF
UNDERWRITERS APPROVED BY THE BOARD OF TRADE.

(A)—*As respects Life Assurance Business.*

1. Every underwriter shall deposit and keep deposited in such manner as the Board of Trade may direct a sum of two thousand pounds. The Board of Trade may make rules as to the payment, repayment, investment of, and dealing with, a deposit, the payment of interest and dividends from any such investment, and for any other matters in respect of which they may make rules under section 2 (6) of this Act in relation to deposits made by assurance companies. The sum so deposited shall, so long as any liability under any policy issued by the underwriter remains unsatisfied, be available solely to meet claims under such policies.

2. The underwriter shall furnish every year to the Board of Trade a statement in such form as may be prescribed by the Board showing the extent and character of the life assurance business effected by him.

(B) and (C)—*As respects Fire and Accident Insurance Business.*

1. Except as hereinafter provided, every underwriter shall comply with the following requirements :—

- (a) He shall deposit and keep deposited in such manner as the Board of Trade may direct a sum of two thousand pounds in respect of each class of business. The Board of Trade may make rules as to the payment, repayment, investment of, and dealing with, a deposit, the payment of interest and dividends from any such investment, and for any other matters in respect of which they may make rules under section 2 (6) of this Act in relation to deposits made by assurance companies. The sum so deposited shall, so long as any liability under any policy issued by the underwriter remains unsatisfied, be available solely to meet claims under such policies.
- (b) He shall furnish every year to the Board of Trade a statement, in such form as may be prescribed by the Board, showing the extent and character of the fire or accident insurance business effected by him.

2. An underwriter who carries on fire insurance or accident insurance business may, in lieu of complying with the above requirements, elect to comply with the under-mentioned conditions :—

- (a) All premiums received by or on behalf of the underwriter in respect of fire and accident insurance or re-insurance business carried on by him, either alone or in conjunction with any other insurance business for which special requirements are not laid down in this schedule, shall without any apportionment be placed in a trust fund in accordance with the provisions of a trust deed approved by the Board of Trade :
- (b) He shall also furnish security to the satisfaction of the Board of Trade (or, if the Board so direct, to the satisfaction of the committee of the association), which shall be available solely to meet claims under policies issued by him in connexion with fire and accident business and any other non-marine business carried on by him for which special requirements are not laid down in this schedule.

The security may be furnished in the form of either a deposit or a guarantee, or partly in the one form and partly in the other.

The amount of the security to be furnished shall never be less than the aggregate of the premiums received or receivable by the underwriter in the last preceding year in connexion with such fire and accident and other non-marine business :

- (c) The accounts of every underwriter shall be audited annually by an accountant approved by the committee of the association, who shall furnish a certificate to the committee of the association and to the Board of Trade in a form prescribed by the Board of Trade :
- (d) For the purpose of these requirements “non-marine insurance business” means the business of issuing policies upon subject-matters of insurance other than the following, namely :—

Vessels of any description, including barges and dredgers, cargoes, freights, and other interests which may be legally insured by, in, or in relation to vessels, cargoes, and freights, goods, wares, merchandise, and property of whatever description insured for any transit by land or water, or both, and whether or not including warehouse risks or similar risks in addition or as incidental to such transit.

(D)—*As respects Employers' Liability Insurance Business.*

1. Every underwriter shall deposit and keep deposited in such manner as the Board of Trade may direct a sum of two thousand pounds. The Board of Trade may make rules as to the payment, repayment, investment of, and dealing with, a deposit, the payment of interest and dividends from any such investment, and for any other matters in respect of which they may make rules under this Act in relation to deposits made by assurance companies. The sum so deposited shall, so long as any liability under any policy issued by the underwriter remains unsatisfied, be available solely to meet claims under such policies.

2. Where the person insured by any policy issued by an underwriter is liable to make a weekly payment to any workman during the incapacity of the workman, and the weekly payment has continued for more than six months, the liability therefor shall before the expiration of twelve months from the commencement of the incapacity be redeemed by the payment of a lump sum in accordance with paragraph (17) of the First Schedule to the Workmen's Compensation Act, 1906, and the underwriter shall pay the lump sum into the county court, and shall inform the court that the redemption has been effected in pursuance of the provisions of this schedule.

3. The underwriter shall furnish every year to the Board of Trade a statement in such form as may be prescribed by the Board showing the extent and character of the employers' liability business effected by him.

4. For the purposes of this schedule "policy" means a policy insuring any employer against liability to pay compensation or damages to workmen in his employment.

(E)—*As respects Bond Investment Business.*

1. Every underwriter shall deposit and keep deposited in such manner as the Board of Trade may direct a sum of two thousand pounds. The Board of Trade may make rules as to the payment, repayment, investment of, and dealing with, a deposit, the payment of interest and dividends from any such investment, and for any other matters in respect of which they may make rules under section 2 (6) of this Act in relation to deposits made by assurance companies. The sum so deposited shall, so long as any liability under any policy issued by the underwriter remains unsatisfied, be available solely to meet claims under such policies.

2. The underwriter shall furnish every year to the Board of Trade a statement in such form as may be prescribed by the Board showing the extent and character of the bond investment business effected by him.

Section 37.

NINTH SCHEDULE.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
33 & 34 Vict. c. 61.	The Life Assurance Companies Act, 1870.	The whole Act.
34 & 35 Vict. c. 58.	The Life Assurance Companies Act, 1871.	The whole Act.
35 & 36 Vict. c. 41.	The Life Assurance Companies Act, 1872.	The whole Act.
39 & 40 Vict. c. 22.	The Trade Union Act Amendment Act, 1876.	Section seven.
7 Edw. 7. c. 46.	The Employers' Liability Insurance Companies Act, 1907.	The whole Act.